

Keep Your Investment Decisions Simple

Index mutual funds and exchange-traded funds reduce costs and provide broad exposure to specific asset classes. Generally, no one has been able to beat the market year in and year out, so active investment management is not a reasonable option. Keep costs low and stay invested. Remember, you already have the most powerful asset: time.

The most important question you should ask yourself is, “How should I gain market exposure?” You have two primary options: put your money in the market all at once, or funnel it in gradually over time.

Averaging Into the Market over Time

If you know that you want to get involved in the equity markets, but have no idea when the best time to buy is, you should definitely consider averaging into the market rather than making a lump sum investment. Determining the best way to average into the market depends on your current financial situation, such as how much cash you presently need and whether you have outstanding debts. Once you feel comfortable with your financial situation, your investment options include contributing a set amount, a fixed dollar amount, a set percentage of the remaining balance, a variable amount on a random schedule, a variable amount based on fluctuations in the market, and so on. Here are a few points to remember as you consider your strategy:

1. Put your plan in writing.
2. Be careful not to execute too many trades. If you do make too many trades, you can incur very high transaction costs. You may want to consider no-transaction-fee mutual funds as well.
3. Avoid the inclination to chase investments by making subsequent purchases at higher and higher levels. Keep in mind that many investment professionals believe that the market will continue to see positive results as global economies continue to climb. If you break your investment up into too many pieces, you are just investing the money over a longer period of time.